



2025 ESG Report



1. Introduction

In an industry known for moving cautiously and thinking incrementally, bunq continues to do what we've always done - move fast, challenge conventions, and build banking around what users actually need. Founded in 2012 by CEO Ali Niknam, bunq set out to prove that banking doesn't have to be slow, complex, or impersonal. It can be simple, intuitive, and built entirely around the people who use it.

2025 was another year where that vision translated into real progress. bunq continued to grow across Europe while strengthening the foundations that support our long-term mission: building the world's most user-centric bank. This year we reached an important milestone, welcoming our 22nd millionth user, a reflection of the growing trust placed in bunq by individuals, families, and entrepreneurs across Europe.

As bunq grows, so does our responsibility. Throughout 2025, we continued expanding the way we measure and report our environmental and social impact. From refining how we track operational emissions to deepening our analysis of financed emissions across our lending and investment portfolios, our goal remains simple: transparency that keeps pace with our growth.

Our community's environmental impact also reached a new milestone. By the end of 2025, bunq users had helped pledge 45 million trees through their everyday spending, including 18 million trees during the year alone through our partnership with Veritree. These projects support ecosystem restoration while strengthening local communities, demonstrating how everyday financial decisions can contribute to meaningful environmental outcomes.

At the same time, we continued strengthening the governance frameworks that support responsible growth. In 2025, bunq introduced several new internal policies, including a Procurement Policy and a Tax Policy, reinforcing our commitment to transparency, responsible supply chains,

and fair tax practices across the markets where we operate. These efforts were reflected externally through bunq's improved ranking in the Dutch Fair Finance Guide, where the bank rose to third place among Dutch banks.

Beyond environmental and governance initiatives, bunq also expanded its social impact. During the year, bunq contributed to the People for People Foundation, supporting efforts to provide rapid assistance to individuals and families facing crisis situations. Through initiatives like these, bunq aims to contribute not only to financial innovation but also to stronger and more resilient communities.

Protecting users remains equally central to our responsibility as a financial institution. Throughout 2025, we continued investing in advanced fraud prevention and monitoring systems, helping ensure that bunq users remain significantly less likely to fall victim to fraud compared to industry benchmarks. Combined with our commitment to transparency and user control, these efforts reinforce the trust that underpins our relationship with the millions of people who rely on bunq for their daily finances.

As a digital-first bank, innovation remains at the core of everything we do. But innovation for us isn't just about launching new features - it's about continuously improving how banking works for our users. Every product we launch, every policy we refine, and every system we build is designed with the same goal in mind: making banking simpler, safer, and more aligned with the world our users live in.

As bunq continues to grow, we remain focused on building a bank that is transparent, responsible, and designed for the long term. By combining innovation with strong governance and measurable impact, we aim to ensure that bunq's growth continues to benefit our users, our employees, and the communities we serve.

2. Highlights 2025: Impact in Action

2.1 A Greener World: 18 Million Trees and Counting

At bunq, we build tools that empower our users to make a positive impact on the world with every tap of their card. In 2025, this philosophy translated into our most significant environmental achievement to date. Our community has pledged an incredible 18 million trees with our partner Veritree, marking the largest single-year contribution since we launched our green-enabling feature in 2019.

This milestone is a direct result of our users' everyday spending. The initiative is simple: by using their cards, users help reforest the planet. Our tiered plans, such as bunq Pro and Elite, allow them to accelerate this impact, planting a tree for every €250 and €100 spent, respectively.

More Than Just Trees

Through our partnership with Veritree, bunq's reforestation efforts go beyond planting trees - they help restore entire ecosystems while supporting the people who depend on them. In East Africa, mangrove projects engage local communities in protecting and maintaining coastal environments, combining traditional knowledge with proven planting techniques to strengthen long-term survival rates. Early biodiversity signals and continuous monitoring show that these restoration efforts are contributing to healthier, more resilient natural habitats.

The impact is social as well as environmental. With over 60% of staff involved in these projects being women, restoration activities create inclusive economic opportunities while building local stewardship of natural resources. By supporting community-led conservation, bunq ensures that every tree planted contributes not only to carbon capture, but also to stronger livelihoods, empowered communities, and lasting environmental resilience.



What's Next?

Looking ahead, bunq's partnership with Veritree will continue evolving from simple tree planting toward fully data-driven ecosystem restoration. By combining geospatial baselines, planting evidence, and real-time sensor monitoring, future projects will provide deeper insights into biodiversity recovery, carbon accumulation, and long-term forest health. This transparent, measurable approach ensures that every restoration effort is tracked from the moment a site is assessed through to long-term growth and resilience.

As restoration initiatives scale, the focus will expand beyond individual planting moments to continuous impact tracking - from soil and light sensors to biodiversity monitoring tools that help communities understand how ecosystems evolve over time. For bunq, this means strengthening a future where users don't just plant trees, but actively support nature-based solutions that are measurable, resilient, and designed to create lasting environmental and social value.

IRO Type	Topic	IRO	Explanation
Positive impact	Impacts on the extent and condition of ecosystems	Tackling desertification and land degradation through reforestation.	Through bunq's partnership and sponsorship with VeriTree, users plant trees based on their spending and banking plan. VeriTree restores ecosystems and tackles desertification through reforestation.

2.2 A Leader in Fair Finance: The Dutch Fair Finance Guide

bunq's performance in the [Dutch Fair Finance Guide assessment](#) (Eerlijke Geldwijzer) improved significantly this year, reflecting continued progress in strengthening the bank's responsible finance policies. bunq's overall score increased from 7 in the previous assessment to 8, placing the bank third among Dutch banks and further strengthening its position among the sector's sustainability leaders.

This improvement highlights the ongoing work bunq invests in developing policies that align with strong environmental, social, and ethical banking standards. The assessment recognized bunq's particularly strong performance across several key sustainability themes, including animal welfare, human rights, and biodiversity, areas that are central to bunq's approach to responsible banking.

For bunq, this progress represents more than a score improvement. It reflects the bank's continued commitment to building policies that both bunq and its users can be proud of. By strengthening the principles that guide how bunq operates and allocates capital, the bank aims to ensure that users can bank with confidence, knowing their money supports a financial institution that prioritizes responsible and forward-looking practices.

bunq will continue working to further strengthen its policies and transparency, ensuring that responsible banking remains embedded in the way the company grows and serves its users.



Social

2.1 Empowering Our Workforce and Users

bunq places people at the center of our mission - whether they're employees, users, or small business owners. Our approach to workforce development is built on trust, inclusivity, and creating clear, tangible pathways for professional growth.

2.1.1 Empowering Our Workforce

We have 665 FTEs as of the end of 2025 who play a vital role in driving bunq's growth.

Breakdown by Location:

Netherlands	Ireland (CFG)	Bulgaria	Turkey	Other
280	93	117	137	38

Breakdown by Gender:

Female	Male	Non-Binary	Not-Disclosed
284	379	2	0

2.1.2 bunq internal breakdown

The technology sector continues to face a gender imbalance, with women representing around 20% of the global workforce. At bunq, 43% of employees are women, reflecting a more balanced representation within our organization. Our team spans over 52 nationalities, bringing diverse perspectives that support innovation and problem-solving across a global user base. Ensuring equal access to opportunity is a cornerstone of our hiring philosophy. bunq's recruitment process is designed to be systematic, objective, and skills-focused, ensuring candidates are evaluated on their abilities and potential rather than background or personal characteristics.

To support this approach, we implement several structural measures within our recruitment framework:



- *Skills-First Evaluation:* At bunq, capability comes before background. Every candidate is evaluated against a consistent, role-specific skills framework. This ensures we assess what applicants can do, rather than focusing on where they studied, their nationality, or other unrelated factors. This competency-driven approach is fundamental to minimizing bias and building diverse, high-performing teams.
- *Objective Assessments:* We utilize pre-interview tests and structured evaluations to gain an unbiased view of each applicant's abilities. By focusing on data and demonstrated skills, we ensure that every candidate is assessed on a level playing field and that decisions are based on merit.
- *Bias-Free Job Postings:* We use AI-driven tools to help craft inclusive job descriptions. This technology scans our postings to identify and remove potentially gendered, exclusionary, or discouraging language, ensuring our ads appeal to the widest possible pool of qualified candidates.
- *Global Talent Support:* We actively recruit talent from around the world to bring diverse perspectives to our team. To make this possible, we proudly support international team members with visa sponsorship and relocation assistance

2.1.3 Supporting Users and Small Businesses

As the economic and digital landscapes evolve, financial transparency and inclusion are more critical than ever. bunq is committed to making banking simple, intuitive, and accessible. We work to strengthen our users' financial literacy and provide responsible products that support everyone-regardless of their background or financial experience.

2.1.4 Fair Compensation and Pay Equity

At bunq, compensation is grounded in objective data and structured evaluation. Pay reflects the scope of a role and an individual's performance, not personal characteristics such as gender, identity, or background. By standardizing how impact and ownership are assessed, we embed fairness into the system from the outset.

Our CEO-to-median employee pay ratio stands at 6.8, significantly lower than what is commonly observed in traditional banking institutions. This reflects our commitment to maintaining executive compensation that is proportionate and aligned with the broader organization.

We operate within a transparent, merit-based framework where responsibilities, contribution, and measurable performance determine remuneration. This structure supports equal opportunity and minimizes the influence of subjective factors in compensation decisions.

To ensure continued fairness, we conduct regular internal reviews of our compensation model. By combining clear role frameworks with data-driven evaluation, we aim to maintain consistency, equity, and alignment across all teams and levels of the organization.

2.1.5 Diversity and Leadership Representation

Diversity at bunq is the outcome of a core belief: giving every talented employee a fair and structured opportunity to develop, take on responsibility, and excel. Our hiring and promotion processes center on selecting and advancing top talent without bias. We believe that by

creating an environment where meritocracy and employee growth are systematically supported, our leadership will naturally reflect the diverse, high-performing teams we build.

To help every team member advance in their career, we have established several key programs:

- *Structured Onboarding:* We provide a comprehensive onboarding program to support all new joiners, ensuring they have the tools and knowledge to integrate smoothly and effectively into their roles at bunq.
- *Talent Development Program:* We have implemented a structured talent development program designed to support high-performing employees in their career progression, helping them build the skills and experience necessary for future leadership roles.
- *Ongoing Leadership Development:* Our team leads and department heads receive ongoing leadership development to ensure they are equipped to manage their teams effectively and foster a culture of growth and accountability.
- *Annual Compliance Training:* We administer a recurring, annual training program for all employees to ensure our team's continuous adherence to the highest safety, security, and compliance standards.

2.1.6 Embedding Diversity into Our ESG Policy

At bunq, diversity is embedded directly into our [ESG Policy](#), ensuring that inclusion and equal opportunity are part of how we operate, make decisions, and grow as a company. Through our Justice, Equity, Diversity & Inclusion (JEDI) framework, we integrate fair and inclusive practices into recruitment, career development, workplace culture, and user experience - reinforcing our belief that sustainability must go hand in hand with social equity.



Our diversity approach ensures that:

- Hiring, promotions, and compensation are based on objective performance and merit;
- Equal treatment and non-discrimination are upheld across all roles and locations;
- Employees have access to inclusive workplace policies, flexible support, and safe reporting channels;
- Human rights, dignity, and diverse perspectives are respected across our workforce and partnerships.

2.1.7 Career Progression and Fair Promotions

At bunq, career advancement is driven by ownership, impact, and performance-not by tenure or background. Our promotion framework is designed to be transparent and structured, grounded in objective evaluation criteria as outlined in our core principles of conduct and governance. We are committed to fostering a meritocracy where every employee has a clear path for growth. To ensure fairness in all development and promotion opportunities:

- *Objective, Role-Based Assessments:* Employees are assessed against clearly defined role expectations and responsibilities. This ensures evaluations are based on individual performance and contribution, rather than internal competition.
- *Continuous Performance Dialogue:* Through quarterly performance reviews, every team member gains clarity on their growth trajectory, achievements, and next steps, facilitating a continuous and transparent dialogue about their career at bunq.
- *Consistent Evaluation Standards:* We provide leadership training to ensure that managers and decision-makers are equipped to evaluate and promote talent consistently and without bias, in line with our policies on fair treatment and conflict of interest.

Furthermore, bunq fully supports employees in balancing their work and family lives. We adhere to all parental leave regulations in every country where we operate, providing comprehensive support for parents through maternity, paternity/partner, and parental leave. This commitment helps us foster a more inclusive, equitable, and sustainable workplace culture.

2.1.8 Employee Engagement and Communication

Open dialogue and active engagement are vital to a healthy, connected, and high-performing workforce. As detailed in our Code of Conduct, we are committed to maintaining a work environment built on mutual respect and transparent communication. We provide employees with a variety of formal and informal channels to voice concerns, share feedback, and stay connected with leadership.

Our key initiatives are formalized through established policies and practices:

- *Confidential Reporting Channels:* Our Whistleblowing Policy provides a clear and robust framework for employees to report concerns safely and confidentially. This is supported by designated Company Confidants, ensuring multiple secure avenues for raising issues without fear of reprisal.
- *Fostering Community and Culture:* We support a vibrant and inclusive workplace through a dedicated cultural budget and

numerous employee-driven events. These initiatives, alongside our active LGBTQIA+ community and global collaboration opportunities, strengthen our sense of community.

- *Fair and Structured Conflict Resolution:* When conflicts arise, we adhere to a clear process outlined in our internal policies. This involves internal mediation and, where appropriate, support from external Occupational Health Services to ensure fair, respectful, and constructive resolutions.

2.1.9 Supporting Communities in Times of Need

In 2025, bunq contributed €100,000 to the [People for People Foundation](#), supporting its mission to deliver rapid assistance to individuals and families affected by crises. People for People operates as an independent collective that mobilizes resources quickly, working with local partners and companies to provide essential support where it is most urgently needed. During the year, People for People hosted an exhibition highlighting the real-world impact of its initiatives, sharing stories of individuals who received support during difficult circumstances. As a founding partner, bunq supports People for People alongside other organizations, helping make timely assistance more accessible to vulnerable communities. bunq employees also engaged with the initiative through internal awareness activities, reinforcing the tangible impact these efforts have for displaced families and individuals in the Netherlands.

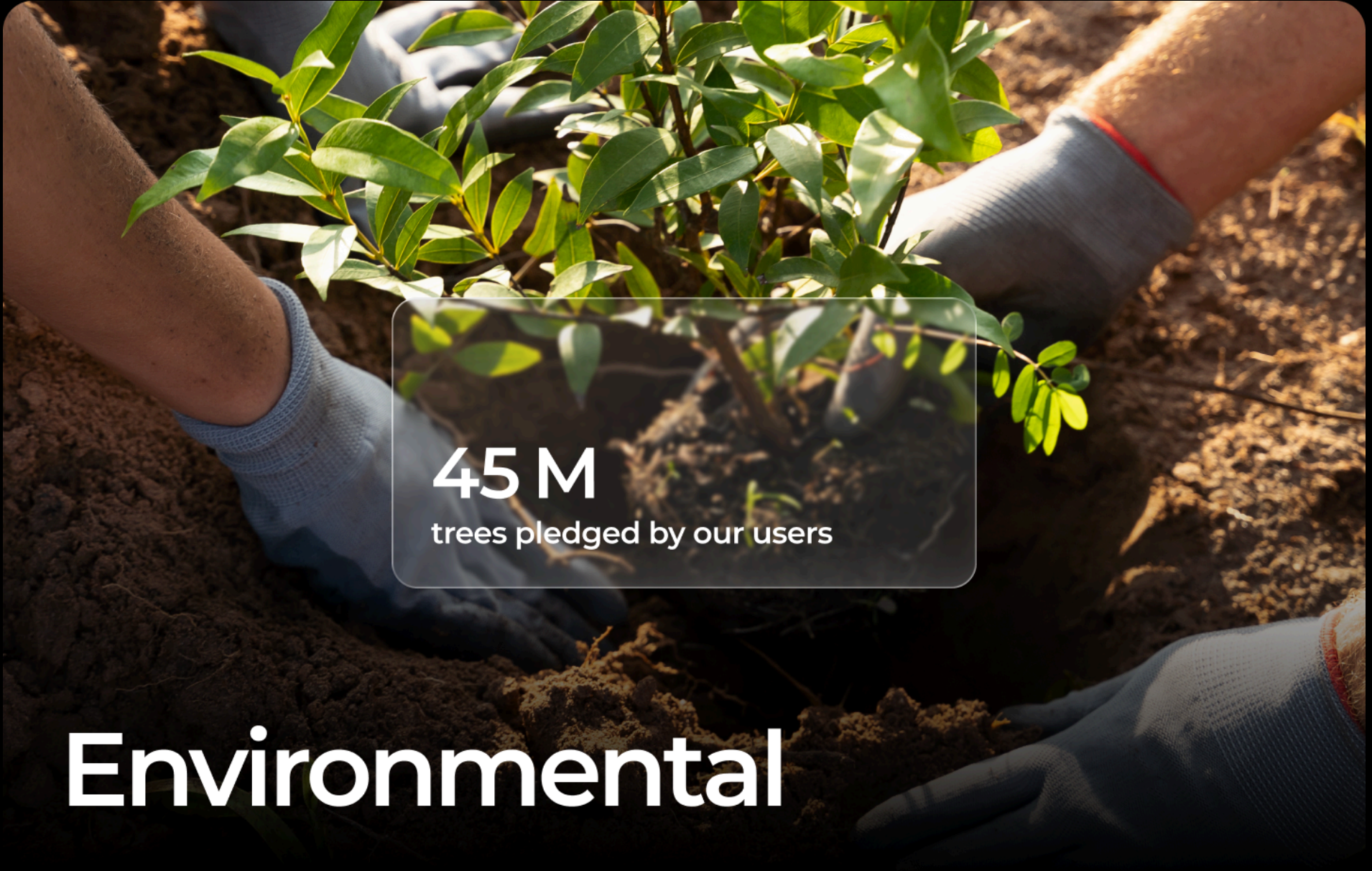


bunq also donated €100,000 to [Techleap](#), a Dutch non-profit organization dedicated to strengthening the Netherlands' technology ecosystem. Techleap supports high-growth startups and scaleups by connecting founders with capital, talent, and global networks. By contributing to Techleap, bunq aims to support the continued development of a strong and innovative European tech sector, helping entrepreneurs scale solutions that drive economic growth and technological progress.

Through partnerships with organizations focused on community resilience and technological innovation, bunq seeks to contribute to positive social impact beyond its core banking activities.

“When people’s lives are disrupted, it’s an urgent call on our shared humanity. We have to stand up and act, regardless of who they are or where they’re from.”

– Ali Niknam, CEO bunq



45 M

trees pledged by our users

Environmental

3.1 Climate Change

At bunq, we believe that true environmental responsibility is a choice, not an obligation. Our commitment to transparency is a core part of our identity and is not dependent on the shifting regulatory landscape. We hold ourselves accountable because it's the right thing to do.

That's why we've chosen to voluntarily disclose our full carbon footprint, including Scope 1, 2, and 3 emissions. We are dedicated to continuously advancing our reporting practices through internally-defined metrics, data-driven tracking, and complete transparency across both our internal operations and financing activities. To maintain the credibility and integrity of our reporting, bunq relies on robust, publicly available sector methodologies, such as the [Partnership for Carbon Accounting Financials](#) (PCAF). As best practices evolve, we will continue to revisit our assurance options to ensure our disclosures remain reliable and impactful.

3.1.1 Scope 1 & 2 - Own Operations

Scope 1		per FTE	
Total 2024 (tCO2)	30.45		0.05
Total 2025 (tCO2)	30.4		0.05

Scope 2		per FTE	
2024 (tCO2)	89.3		0.14
2025 (tCO2)	88.7		0.13

Scope 1 & 2 Emissions represent the direct and indirect carbon footprint of bunq's operations, with total emissions of 119.1 tCO₂ in 2025.¹

- Scope 1 emissions (30.4 tCO₂) cover direct emissions from sources controlled by bunq, which arise from fuel combustion in our office heating systems.

¹ Some bunq offices operate within coworking spaces, where only a limited number of employees use hot desks. Due to the shared nature of these spaces, we use an approximation method based on our main Amsterdam office on a FTE basis.

- Scope 2 emissions (88.7 tCO₂) are indirect emissions from purchased electricity, heat, or cooling used by bunq.

Our Amsterdam office has been in a new building now for the entirety of 2025, and reports **zero direct emissions (Scope 1)**. This is achieved through the building's advanced and sustainable infrastructure, which operates entirely without the use of natural gas.

The heating and cooling for the facility are managed by an innovative Heat and Cold Storage (WKO) system. This technology utilizes the ground's thermal energy to regulate the building's temperature in a highly efficient, gas-free manner. The power for this system is electric, and its associated indirect emissions are fully accounted for under our Scope 2 reporting.

This commitment to leveraging sustainable building technology significantly minimizes our direct environmental footprint and underscores our dedication to operational sustainability.

Location	tCO2
Netherlands	43.3
Ireland (CFG)	22.7
Bulgaria	13.7
Turkey	32.7
Other ¹	5.89
Total	119.1

IRO Type	Topic	IRO	Explanation
Negative impact	Climate change mitigation	Emission of GHG through own operations	While bunq operates without physical branches, emissions still arise from office operations.

3.1.2 Scope 3 - Categories 1-14

The following Scope 3 categories are considered immaterial for bunq, as our business model and operations do not encompass these sources of emissions:

- Category 2: Capital goods
- Category 3: Fuel- and energy-related activities
- Category 4: Upstream transportation and distribution
- Category 8: Upstream leased assets
- Category 9: Downstream transportation and distribution
- Category 10: Processing of sold products
- Category 11: Use of sold products
- Category 12: End-of-life treatment of sold products
- Category 13: Downstream leased assets
- Category 14: Franchises

Category	bunq Operations	Emissions '25 (tCO2)	per User	Emissions '24 (tCO2)	per User
1 Purchased Goods and Services	Cards - Production	75	0.000045	45	0.000040
	Cards - Distribution	0.1	0.000000	0.03	0.000000
	AWS	74.4	0.000045	51	0.000045
	DHL	0	0.000000	1.3	0.000001
			per FTE		per FTE
5 Waste generated in Operations	Event Waste	3.7	0.01	17	0.03
	Customer-Related Waste	0.8	0.00	1.1	0.00
6 Business Travel	Business travel	80.3	0.12	96	0.15
7 Employee Commuting	Employee Commuting	166	0.25	123.4	0.19
Total		400		335	

Overall emissions increased from 335 tCO₂ in 2024 to 400 tCO₂ in 2025, primarily reflecting continued growth in bunq’s user base and workforce, alongside improvements in emissions measurement methodologies. The increase is therefore largely associated with scaling operations rather than a proportional increase in emissions intensity per user and per employee.

Purchased Goods & Services (Category 1) ~149.5 tCO₂

In 2025, emissions from Purchased Goods & Services totaled 149.5 tCO₂, reflecting both operational growth driven primarily by an increase in bunq’s user base and improvements in emissions accounting compared to previous reporting periods. The largest component of this category is bunq’s cloud infrastructure usage through Amazon Web Services (AWS).

During 2025, AWS updated the methodology used in its Customer Carbon Footprint Tool, significantly changing the emissions values reported for cloud services. In bunq’s 2024 ESG report, AWS emissions were disclosed as 0.441 tCO₂ under the methodology available at that time. **AWS has since introduced a revised carbon accounting framework** that expands the emissions categories included and improves how emissions are allocated across user workloads.

Under the updated methodology, AWS emissions for 2024 are approximately 50 tCO₂, while emissions associated with bunq’s AWS usage in 2025 total 74.4 tCO₂. The difference compared to the previously reported value primarily reflects the updated calculation approach rather than a proportional increase in cloud usage. To ensure comparability and transparency, bunq has restated the 2024 AWS emissions figure using the updated methodology, establishing a consistent baseline for comparison between 2024 (50 tCO₂) and 2025 (74.4 tCO₂).

As a digital-first bank, cloud infrastructure remains a core operational component. As bunq’s user base and workforce grow, demand for data storage, transaction processing, and internal platform usage also increases, naturally driving higher cloud computing demand. bunq will continue updating its reporting as carbon accounting methodologies evolve across the technology sector.

Beyond cloud infrastructure, card production emissions totaled 75 tCO₂ in 2025, compared with 45 tCO₂ in 2024 (restated). In bunq's previous ESG report, 2024 card production emissions were reported as 25 tCO₂. Following a review of the underlying dataset, the 2024 figure has been updated to 45 tCO₂ to reflect the full volume of cards produced during the year. The increase in 2025 emissions is primarily driven by continued user growth (increase in Users) and higher card issuance volumes. As bunq scales, the material footprint associated with physical banking products grows accordingly.

Overall, the change in Category 1 emissions reflects two underlying dynamics: organizational growth (particularly in the number of users) and improved emissions measurement. As bunq's sustainability reporting continues to mature, enhancing data quality, methodology, and transparency remains a central priority.

Waste Generated in Operations (Category 5) – 4.5 tCO₂

Emissions associated with operational waste totaled approximately 4.5 tCO₂ in 2025, representing a significant decrease compared to 2024 levels (18.1 tCO₂). The majority of waste-related emissions in 2024 were linked to event-related materials. In 2025, internal team structures evolved, resulting in smaller team sizes and reduced demand. These operational adjustments resulted in a substantial reduction in event-related waste emissions compared to the prior reporting year, despite overall growth in bunq's workforce.

Business Travel (Category 6) – 80.3 tCO₂

Business travel emissions totaled 80.3 tCO₂ in 2025, compared with 96 tCO₂ for 2024 (restated). In bunq's previous ESG report, business travel emissions for 2024 were disclosed as 166.4 tCO₂. This figure was originally estimated using a simplified extrapolation method. For the current reporting cycle, bunq implemented a more detailed data collection process, capturing travel data for all four quarters. Applying this refined methodology retrospectively showed that actual 2024 emissions were approximately 96 tCO₂, rather than the previously estimated value. To ensure methodological consistency across reporting periods, the 2024 figure has been restated in the comparison table using the improved calculation approach. The 2025 figure therefore reflects both improved

measurement accuracy and ongoing efforts to optimize travel-related emissions, including increased reliance on remote collaboration and more efficient travel planning, even as bunq's workforce continued to grow.

Employee Commuting (Category 7) – 166 tCO₂

Employee commuting emissions totaled 166 tCO₂ in 2025, compared with 123.4 tCO₂ in 2024. This increase is primarily driven by growth in bunq's workforce, alongside the introduction of a more detailed commuting methodology.

During the current reporting cycle, bunq introduced an updated commuting methodology based on more granular location data. Using anonymized HR data, the calculation now incorporates commuting distances between employee home locations (rather than only zip codes) and office locations, allowing for a more accurate representation of commuting patterns. This updated methodology replaces the simplified estimation approach previously used and improves the precision of commuting-related emissions calculations.

As bunq's workforce continues to expand across multiple regions, commuting emissions are influenced by both employee distribution and office presence patterns. The refined methodology ensures these dynamics are captured more accurately in the reported figures.

IRO Type	Topic	IRO	Explanation
Negative impact	Climate change mitigation	Emission of GHG through own operations	Though bunq has no physical branches, emissions from commuting and business travel. These are key focus areas as we continue to refine our sustainability strategy.
Negative impact	Energy	Partnerin g with energy intensive suppliers	bunq's digital operations depend on cloud services, which, despite using mostly renewable energy, still contribute to high energy demand. As we grow, managing the footprint of cloud computing remains a key priority.

3.1.3 Scope 3 Category 15 - Financed Emissions

Category 15 represents emissions linked to bunq’s lending and investment activities, making it the most financially and environmentally significant part of our Scope 3 footprint. As a financial institution, our greatest impact doesn’t come from our own operations, but from the businesses and assets we finance.

Capitalflow Group (CFG) - Financed Emissions

As a subsidiary of bunq, CFG plays a key role in financing Ireland’s small and medium-sized businesses, enabling them to grow, innovate, and strengthen local communities. As the portfolio expands, so does its environmental footprint - making carbon efficiency a critical metric alongside growth. In 2025, CFG’s portfolios continued to develop, with emissions trends reflecting both expansion and improved intensity across core segments.

	Balance '25 (€M)	Balance '24 (€M)	Financed Emissions (tCO2) '25	Financed Emissions (tCO2) '24	tCO ₂ / €M Invested '25	tCO ₂ / €M Invested '24
AF	€344	€292	155,187	134,937	452	463
ABL	€3	€11	55	418	16	37
CRE	€740	€587	25,141	22,332	34	38

- *Asset Finance (AF)* - CFG’s Asset Finance portfolio grew from €292 million to €344 million in 2025. Financed emissions increased from 134,937 tCO₂ to 155,187 tCO₂, driven primarily by portfolio growth. However, emissions intensity improved from 463 to 452 tCO₂ per €1 million invested. While absolute emissions rose, each euro deployed became slightly more carbon-efficient, indicating incremental improvements in the types of assets being financed and broader sectoral efficiency gains.
- *Asset Based Lending (ABL)* - The ABL portfolio continued to wind down, reflecting a strategic reduction of the portfolio and a continued shift toward more scalable and aligned lending activities, decreasing from €11 million to €3 million. Financed

emissions fell sharply from 418 tCO₂ to 55 tCO₂, while emissions intensity declined from 37 to 16 tCO₂ per €1 million invested.

- *Commercial Real Estate (CRE)* - CRE financing expanded from €587 million to €740 million. Financed emissions increased from 22,332 tCO₂ to 25,141 tCO₂, largely due to growth. However, emissions intensity improved from 38 to 34 tCO₂ per €1 million invested. The decline in intensity suggests ongoing improvements in building efficiency and evolving market standards within the commercial property sector.

IRO Type	Topic	IRO	Explanation
Negative impact	Climate change mitigation	Financing clients with material GHG emissions	Through CFG, bunq provides financing to SMEs in sectors such as agriculture, construction, manufacturing, transport, and commercial real estate.

bunq’s Own Investments - Financed Emissions

In 2025, bunq’s own investment portfolio expanded significantly. bunq’s emissions intensity, from its own investments, rose from an average of 96 to 133 tCO₂ per €1 million invested, largely driven by the substantial expansion of the CLO portfolio. As with all financed emissions, absolute growth reflects portfolio composition as much as scale.

	Balance '25 (€M)	Balance '24 (€M)	Financed Emissions (tCO2) '25	Financed Emissions (tCO2) '24	tCO ₂ / €M invested '25	tCO ₂ / €M invested '24
Dutch Residential Mortgages	€1,491	€1,266	39,974	33,757	27	27
Royal Bank of Scotland	€101	€101	423	423	4	4
Swiss Cantonal Bank	€80	€90	331	373	4	4

Swap Collateral	€30	€46	628	977	21	21
ABS	€250	€327	39,260	53,839	157	165
CLO	€1,334	€219	349,711	60,117	262	275
Bonds	€237	€271	1,450	1,815	6	7

Dutch Residential Mortgages (DRM)

Dutch Residential Mortgage investments increased from €1,266 million to €1,491 million in 2025. Financed emissions rose from 33,757 tCO₂ to 39,974 tCO₂, directly linked to portfolio growth. Emissions intensity remained stable at 27 tCO₂ per €1 million invested, indicating consistent carbon performance across the underlying mortgage book.

While expansion increases total emissions, the unchanged intensity suggests the energy profile of financed homes remains steady. As energy-efficiency standards in the Dutch housing market continue to improve, long-term intensity reductions remain structurally supported.

Asset Backed Securities (ABS)

The ABS portfolio decreased from €327 million to €250 million. As a result, financed emissions declined from 53,839 tCO₂ to 39,260 tCO₂, with emissions intensity improving from 165 to 157 tCO₂ per €1 million invested.

This reduction reflects both lower exposure and gradual improvements in the composition of underlying assets. ABS remains more carbon-intensive than traditional mortgage exposure due to auto and consumer-linked assets, but the declining intensity signals incremental progress.

Collateralized Loan Obligations (CLO)

In 2025, bunq significantly expanded its CLO portfolio, growing from €219 million to €1,3 billion. This growth was accompanied by increased

diversification across a wide range of corporate sectors and geographies, further strengthening the portfolio's resilience.

At the same time, the portfolio's carbon intensity improved from 275 to 262 tCO₂ per €1 million invested, highlighting a continued shift and effort toward more carbon-efficient underlying exposures. As a result of the portfolio's growth, financed emissions increased from 60,117 tCO₂ to 349,711 tCO₂. CLOs now represent the largest share of bunq's financed emissions, underscoring their growing importance within the balance sheet.

As the portfolio continues to evolve, bunq remains committed to rigorous sector monitoring and ongoing methodological refinement, further enhancing the accuracy, consistency, and transparency of its financed emissions reporting.

Other Investments (RBS, SCB, Swap Collateral, Bonds)

- Royal Bank of Scotland (€101M) with financed emissions and intensity remaining stable at 423 tCO₂ and 4, respectively.
- Swiss Cantonal Bank (€90M in 2024 to €80M in 2025), with financed emissions subsequently falling to 331 tCO₂, while the intensity remained stable at 4.
- Swap Collateral (€46M to €30M), leading to a significant decrease in financed emissions to 628 tCO₂ (intensity stable at 21).
- Bonds exposure (€271M to €237M), with financed emissions falling to 1,450 tCO₂ and the carbon intensity improving from 7 to 6.

These positions remain the lowest-emitting segment of the portfolio, characterized by relatively stable and modest emissions intensity.

IRO Type	Topic	IRO	Explanation
Negative impact	Energy	Financing companies with high energy consumption	bunq provides financing to clients in energy-intensive sectors such as transport, manufacturing, and commercial real estate.

3.2 Climate & Environmental Risks

A thorough understanding of Climate and Environmental (C&E) risks is essential for responsible financial stewardship. As our business grows, so does the sophistication of our risk management framework. We continue to categorize these risks into two primary types:

1. Physical Risks, which stem from direct climate impacts like extreme weather, and
2. Transition Risks, which arise from the economic and regulatory shifts of a decarbonizing world.

Integrating these factors is not just a compliance exercise; it is fundamental to our long-term resilience and strategy.

3.2.1 Evolution of Our Risk Assessment

In 2025, we sharpened our C&E risk identification and assessment methodology to enhance its precision and forward-looking capabilities. While our core approach remains grounded in established financial risk principles, we have refined how we evaluate the materiality of these risks across our entire balance sheet.

This year's assessment places a greater emphasis on the interconnectedness between risk drivers. For example, we now more explicitly map how a single transition risk, such as new emissions pricing policies, can simultaneously create credit risk for borrowers, market risk within our investment portfolio, and liquidity risk across the financial system. This ensures our mitigation strategies are holistic rather than siloed. Our framework remains aligned with guidance from the European Central Bank (ECB) and De Nederlandsche Bank (DNB), ensuring we not only meet but anticipate regulatory expectations. This structured, data-driven approach allows us to adapt proactively to a continuously evolving climate and policy landscape.

3.2.2 C&E Exposure

Our primary exposure to C&E risks is indirect, stemming from our financing and investment activities. As a digital-first bank with a limited operational footprint, our focus is squarely on the risks embedded within our portfolio.

- *Financed & Invested Emissions:* The largest portion of our C&E risk exposure lies within our lending and investment portfolios. Transition risks, such as sudden regulatory changes or shifts in market demand for carbon-intensive goods, can directly impact the financial health of the entities we finance. We have matured our analysis of these risks, moving toward more granular assessments at the sector and counterparty level.
- *Credit & Market Risk Concentration:* We continuously monitor our portfolio for concentrations of risk in sectors vulnerable to climate transition. This includes analyzing the impact of rising energy prices on households and businesses, as well as the potential for asset devaluation in energy-intensive industries. Our updated methodology includes more dynamic monitoring of these concentrations.
- *Operational & Strategic Resilience:* While our direct physical risk is low, we are not immune to systemic impacts. Our assessment confirms that climate-driven market volatility, tightening regulations, and evolving user expectations are material strategic risks. Our business continuity planning now more formally incorporates scenarios related to widespread environmental disruptions.

3.2.3 How We Identify, Assess & Mitigate C&E Risks

We manage C&E risks with the same rigor as all other principal risk types. Our governance model ensures these risks are identified, measured, and managed systematically across the three lines of defense. The process is cyclical and adaptive:

- *Systematic Identification:* We maintain a comprehensive inventory of C&E risks, which is reviewed and updated annually. This inventory serves as the foundation for our risk appetite and

mitigation strategies. For 2025, we refined the mapping of these risks to specific financial channels like credit, market, and liquidity risk.

- *Integrated Assessment & Stress Testing:* C&E risks are fully integrated into our Internal Capital and Liquidity Adequacy Assessment Processes (ICAAP and ILAAP). We conduct dedicated climate scenario analyses to stress-test our balance sheet against a range of plausible future climate pathways, evaluating our resilience to both short-term shocks and long-term structural changes.
- *Proactive Governance & Horizon Scanning:* Our risk management functions actively monitor the regulatory landscape and emerging industry practices. Through ongoing dialogue with our regulators and participation in industry forums, we ensure our frameworks remain at the forefront of C&E risk management.

This continuous process of identification, assessment, and mitigation ensures that as the world transitions, bunq remains a safe and resilient bank for its users.

IRO Type	Topic	IRO	Explanation
Risk	Climate Change Mitigation	Interest rate risk due to increasing interest rates from investment or policies to reduce GHG emissions	bunq monitors interest rate trends tied to GHG policies to maintain resilience in bond and ABS portfolios, particularly in carbon-intensive sectors.
Risk	Climate Change Mitigation	Credit risk due to the transition towards an CO2 neutral future	bunq integrates climate transition risks-such as policy shifts and cost adjustments-into client credit assessments.
Risk	Climate Change Mitigation	Liquidity risk due to environmental-related lawsuits related to bunq leading to withdrawals of depositors	Strong risk controls and responsible financing practices help bunq mitigate exposure to reputational and legal risk.

IRO Type	Topic	IRO	Explanation
Risk	Climate Change Adaption	Credit risk due to climate change	bunq considers the physical risk of climate change in its credit assessments for mortgages, AF, and CRE portfolios
Risk	Climate Change Adaption	Operational risk due to (extreme) weather events	Extreme weather events are included in bunq's business continuity and operational risk planning.
Risk	Climate Change Adaption	Credit spread risk due to decreased ratings of bonds due to climate change	Climate change related events like extreme weather events or environmental hazards might impact market perceptions and lead to investment costs
Risk	Climate Change Adaption	Liquidity risk due to less savings deposit as a result from damages due to weather changes	bunq monitors liquidity risk associated with climate impacts on household finances.
Risk	Energy	Credit risk due to high energy usage of houses and buildings	High energy usage or efficiency upgrade costs in CRE and mortgage portfolios are reflected in credit risk models.
Risk	Energy	Credit risk due to increased energy prices	bunq monitors exposure in energy-sensitive sectors such as transport, integrating price risks into lending decisions.
Risk	Energy	Credit spread risk due to lower valuation of energy-intensive assets in bond or ABS positions	bunq assesses energy-intensity as a factor in bond and ABS valuations, aligning investment strategy with low-carbon trends.
Risk	Energy	Interest rate risk due to increasing interest rates from investment or policies to reduce energy usage	bunq monitors interest rate sensitivity in its portfolio to manage risks tied to low-carbon transition policies.

To see the material risks are for bunq please reference the annex.

3.3 Pollution & Biodiversity

3.3.1 Pollution - Addressing Our Environmental Footprint
bunq monitors key pollution-related factors - including air emissions linked to business travel and soil-related considerations within lending activities - to support responsible risk management. While our overall footprint remains limited, these areas represent measurable environmental considerations that inform how we assess potential impacts and integrate sustainability into our risk approach.

Air Pollution & Business Travel

Air travel can contribute to non-GHG emissions such as nitrogen oxides and particulate matter, which are increasingly under regulatory scrutiny as governments strengthen air quality and emissions standards. While bunq’s overall impact remains limited compared to high-emission sectors, we recognize the importance of managing business travel responsibly. To reduce our footprint, we follow a travel policy that prioritizes rail over air whenever possible - with flights permitted only when a train journey would exceed four hours - while also encouraging virtual collaboration and lower-emission alternatives. Alongside these measures, we continue to monitor Scope 3 travel-related emissions to better understand trends and identify further opportunities to reduce our environmental impact.

Soil Pollution & Lending Activities

Soil health plays a critical role in long-term land productivity, food systems, and water quality. Through its Asset Finance portfolio, bunq supports agricultural equipment financing while remaining mindful of potential soil-related risks linked to farming practices, equipment efficiency, and chemical use. Environmental considerations are integrated into credit risk assessments for relevant sectors, with lending decisions reflecting regulatory developments, sustainable land-use trends, and evolving agricultural best practices. As environmental standards continue to advance, these insights help bunq adapt its financing approach responsibly while supporting a more sustainable transition within the sectors it serves.

IRO Type	Topic	IRO	Explanation
Negative impact	Pollution of Air	Pollution of air through business travel by plane	bunq monitors air travel emissions, including non-GHG pollutants, as part of its sustainability tracking.
Negative impact	Pollution of Soil	Pollution of soil through lending activities	bunq incorporates soil-related environmental considerations into its credit assessments for agricultural equipment financing.

3.3.2 Biodiversity and ecosystems bunq’s Limited Interaction with Biodiversity

bunq’s operations are digital-first and decentralized, meaning we have no physical production lines or land-use footprint that directly alters natural ecosystems. As a result, our direct impact on biodiversity remains limited. Our financing activities primarily focus on sectors such as real estate and financial services, which generally carry lower biodiversity intensity compared to extractive or land-heavy industries.

While biodiversity is not identified as a material operational risk, bunq and its users still contribute positively to nature. Through our partnership with VeriTree, everyday banking helps support reforestation projects that restore ecosystems and promote long-term environmental resilience. Alongside these initiatives, bunq applies a robust [Socially Responsible Investing \(SRI\) policy](#) to guide how capital is allocated. Using a clear exclusion framework, we avoid investments linked to activities that harm ecosystems, biodiversity, or human well-being - including fossil fuels, mining, controversial weapons, and other high-impact sectors. This approach ensures that our investments actively support more responsible pathways, aligning financial growth with long-term environmental and social progress.

A man in a blue jacket and a woman in a dark jacket are standing in a grassy field, planting a tree. The man is holding up a sapling with roots, and the woman is holding a shovel. They are both smiling. The background shows a line of trees under a cloudy sky.

8 points

in the Dutch Fair Finance Guide assessment
(Eerlijke Geldwijzer)

Governance

4.1 Governance at bunq - A Foundation for Responsible Banking

Strong governance underpins bunq’s commitment to ethical conduct, transparency, and responsible growth. Our framework includes clear oversight structures, robust risk management, and ESG integration across all decision-making. In 2025, we further strengthened this foundation by introducing a formal Procurement Policy and a Tax Policy, reinforcing our commitment to operating with integrity across our entire value chain.

4.1.1 Anti-Bribery & Corruption: Zero Tolerance, No Exceptions

We operate under robust anti-bribery and anti-corruption standards that comply with the Dutch Criminal Code, the US Foreign Corrupt Practices Act, and the UK Bribery Act.

How we safeguard our business:

- *Zero Tolerance for Corruption:* Bribery, facilitation payments, and any form of improper influence are strictly forbidden.
- *Strict Gift & Hospitality Rules:* To maintain objectivity, any gifts or hospitality exceeding €100 per party per year must be reported and formally approved before acceptance. Cash gifts are strictly prohibited.
- *Independent Investigation Procedures:* Allegations of misconduct are reviewed through an impartial investigative process managed by the Compliance Officer.
- *Targeted Training:* All employees complete mandatory annual training on corruption risks, with specialized training for those in higher-risk functions.

We enforce a strict zero-tolerance approach and respond quickly to any identified violations. Employees who breach these standards may face disciplinary measures, including termination and potential legal action. See our [Anti-Bribery & Corruption Policy](#).

IRO Type	Topic	IRO	Explanation
Risk	Corruption & bribery	Risks due to potential for corruption & bribery incidents	bunq mitigates corruption and bribery risks through strict internal controls, employee training, and zero-tolerance policies-ensuring compliance and maintaining trust with users and investors.

4.1.2 Whistleblowing: Speak Up, Stay Protected

At bunq, we stand for radical transparency. If something doesn't seem right, we want employees to feel safe speaking up-without any risk of retaliation.

How we support whistleblowers:

- *Anonymous Reporting:* A secure platform and dedicated email allow concerns to be raised confidentially.
- *Legal Protection:* We fully adhere to the EU Whistleblowing Directive and Dutch legislation, ensuring strong safeguards for anyone reporting in good faith.
- *No-Retaliation Commitment:* Whistleblowers are protected from any form of dismissal, demotion, or discriminatory treatment.
- *Clear, Timely Follow-Up:* Each report is acknowledged within 7 days, with a formal response or action taken within 3 months.

At bunq, whistleblowers aren’t only protected - they’re appreciated. Their courage helps uphold our ethical standards and reinforces our commitment to accountability and our broader mission. See our [whistleblowing policy](#).

IRO Type	Topic	IRO	Explanation
Positive impact	Protection of whistleblowers	bunq protects whistleblowers through a formal whistleblowing policy.	bunq maintains a formal whistleblowing policy to ensure safe, confidential reporting. Strong protections reflect our commitment to transparency and ethical conduct across all operations.

4.1.3 Responsible Procurement: Building a Sustainable Value Chain

In 2025, we formalized our commitment to a fair and sustainable value chain by introducing a comprehensive [Procurement Policy](#). This initiative enhances transparency and ensures that every partner we work with aligns with our core values on environmental, social, and governance (ESG) standards, reflecting our dedication to responsible growth and ethical financial behavior.

How we ensure responsible procurement:

- **ESG-Driven Selection:** We give preference to suppliers who demonstrate strong environmental performance (e.g., ISO 14001 certification), protect labor rights, and promote diversity, equity, and inclusion (DEI).
- **Supplier Code of Conduct:** All suppliers must adhere to our Code of Conduct, which requires acting with integrity, respecting human rights, caring for the environment, and committing to responsible tax behavior.
- **Tax Integrity:** We only partner with suppliers who are transparent, follow local tax laws, and steer clear of aggressive tax avoidance schemes.

IRO Type	Topic	IRO	Explanation
Positive impact	Sustainable Supply Chain	Introduction of a formal Procurement Policy to embed ESG criteria in supplier selection and management.	Our Procurement Policy ensures our partners share our commitment to sustainability, ethics, and transparency, strengthening our value chain and contributing to a fairer world.

4.1.4 Tax Transparency: A Commitment to Fairness

Reinforcing our principle of radical transparency, 2025 saw the launch of our official [Tax Policy](#) and our commitment to publishing a yearly Tax Report, (see the [2024 report](#)). This move formalizes our long-standing

practice of paying our fair share in every country we operate in, providing our users, investors, and the public with a clear and honest account of our tax contributions and strategy. Our Approach to Tax:

- **Paying Our Fair Share:** We are committed to paying all taxes due in every jurisdiction where we operate. We do not use offshore jurisdictions or "tax havens" to reduce our tax bills.
- **No Aggressive Tax Planning:** We do not engage in artificial or aggressive tax arrangements. Our tax planning is aligned with our commercial business activities.
- **Full Transparency:** Our annual Tax Report provides a public, jurisdiction-by-jurisdiction breakdown of our revenues, profits, and taxes paid, ensuring full transparency for all stakeholders.
- **International Standards:** We adhere to OECD Transfer Pricing Guidelines to ensure all our intercompany transactions are priced fairly and reflect economic substance.

4.2 General Governance Disclosures

4.2.1 Scope of Consolidated Statement

bunq's sustainability reporting is fully aligned with our financial disclosures and covers all subsidiaries under our operational control. We apply consistent ESG data standards across the entire Group to maintain clarity, comparability, and accuracy. This report encompasses:

- **Direct operations:** Our internal environmental footprint, resource consumption, business travel emissions, and the sustainability considerations built into our product design.
- **Financial activities:** ESG-related risks and impacts within our lending and investment portfolios, including financed emissions.
- **Governance and business functions:** How ESG principles are embedded into our risk management, compliance processes, and strategic decision-making activities.

4.2.2 Extent of Value Chain Inclusion

To deliver a full picture of our sustainability performance, we assess impacts across both the upstream and downstream parts of our value chain.

- Upstream: This includes the suppliers and service providers-such as card manufacturers and cloud infrastructure partners-whose activities contribute to our Scope 3 emissions and influence our overall sustainability footprint.
- Downstream: The largest share of our impact comes from our lending portfolio. Because financing decisions carry indirect social and environmental consequences, we evaluate these risks carefully to ensure they align with our ESG commitments and support responsible financial practices.

Given that our financing activities shape the downstream value chain, we place strong emphasis on understanding the environmental and social implications of our loan portfolio. We also recognize that data gaps in certain sectors may limit complete visibility.

4.2.3 Description of Value Chain Data and Assumptions

To enhance the reliability of our ESG reporting, we rely on publicly available third-party data, especially when calculating Scope 3 and financed emissions. When direct information isn't accessible, we apply industry-recognized methodologies, including those from the Partnership for Carbon Accounting Financials (PCAF). We evaluate our lending and investment portfolios by risk category to ensure their environmental and social impacts are represented as accurately as possible.

4.2.4 Measurement Uncertainty in Sustainability Reporting

Measuring sustainability impacts - especially Scope 3 and financed emissions - continues to be complex due to data limitations, shifting standards, and the nature of financial products. bunq mitigates these challenges by using established frameworks like PCAF and applying sector

benchmarks when direct data cannot be obtained. Although some level of estimation is unavoidable, we work to steadily enhance accuracy by updating our methodologies, engaging with counterparties, and revising assumptions as industry standards evolve. This approach helps ensure that our ESG reporting remains transparent and dependable, even with the constraints involved.

4.3 Governance Structure and Oversight

Strong governance is essential to ensuring bunq operates with transparency, accountability, and integrity. We maintain well-defined roles and oversight mechanisms that help us manage risks effectively and integrate ESG considerations throughout the organization.

4.3.1 Managing Board: Structure & Experience

bunq's Managing Board is made up of senior executives responsible for setting strategic direction, managing risk, and ensuring effective day-to-day operations. Each member contributes specialized expertise:

- The CEO steers user-centric and sustainability-driven innovation.
- The CFO guides financial strategy and supports long-term, responsible growth.
- The CRO oversees risk management and ensures strong ESG integration.

Given our nature as a tech company, at least one board member has extensive IT expertise, and at least one other holds deep knowledge of risk management. Collectively, the Managing Board embeds ESG considerations into operational and strategic decisions across the organization.

4.3.2 Supervisory Board: Composition & Wider Representation

Our Supervisory Board is made up of three non-executive directors who bring strong backgrounds in finance, compliance, technology, and governance. Two of these members serve as fully independent directors.

This composition supports balanced, objective oversight of bunq's strategic direction and risk management. The board receives input from teams across the organization through clear, open communication channels, ensuring that key insights inform its decision-making.

4.3.3 Oversight Roles & Mandates

Governance at bunq is structured around a clear allocation of responsibilities:

- *Supervisory Board* – Sets and approves strategic priorities, risk frameworks, and sustainability targets. It ensures adherence to regulatory requirements and ESG expectations.
- *Managing Board* – Translates strategy into action, integrating ESG considerations into product development, lending practices, and day-to-day operations. It works closely with risk teams to monitor exposures and track ESG performance.
- *ESG Team* – Operates across departments to embed ESG principles into business processes, keeps the organization aligned with evolving regulations, and delivers quarterly updates to both boards.

4.3.4 The Three Lines of Defense

We use a three-lines-of-defense model to manage risk:

- *First Line:* Business teams and the Managing Board manage day-to-day risks, incorporating ESG considerations into product development and credit decision-making.
- *Second Line:* The Risk & Compliance function defines risk frameworks and monitors how well the organization aligns with bunq's ESG strategy.
- *Third Line:* Internal Audit delivers independent assurance by evaluating controls and reporting its findings directly to the Supervisory Board.

Together, these three lines of defense ensure that risks are addressed proactively and that ESG principles are integrated throughout the decision-making process.

4.3.5 Integration of Dedicated Sustainability Controls

Sustainability is woven into our core policies, risk assessments, and compliance processes. ESG data is incorporated into board-level reporting, ensuring decisions are both well-informed and timely. Cross-functional collaboration-spanning legal, finance, product, and compliance-helps ensure ESG considerations are consistently applied across the business.

4.3.6 Ensuring the Right Skills and Expertise

ESG expertise is a key criterion in all board appointments, and a competency matrix is used each year to evaluate ESG-related skills. Board members participate in continuous learning through dedicated training programs, and external experts are involved when specialized guidance is required. The Risk & Audit Committee oversees ESG training to ensure board members remain current with evolving standards and expectations.

4.3.7 Incentive Schemes and Sustainability-Linked Remuneration

bunq's leadership remuneration is designed to promote long-term value creation and responsible risk management. The remuneration for the Managing Board consists of a fixed salary, with no variable or short-term bonus schemes.

For transparency, we note that Managing Board members are offered the opportunity to participate in the Management Incentive Plan (MIP). This is a long-term plan designed to align their interests with the sustainable growth of the company and is not considered a form of variable remuneration. Governance committees review our [remuneration policies](#) regularly to ensure they remain aligned with responsible banking principles and all regulatory requirements.

4.3.8 Key Stakeholders and Engagement Approach

bunq maintains ongoing engagement with users, employees, investors, regulators, and partners. We collect stakeholder insights through in-app feedback, internal discussion platforms, and direct conversations. This input shapes decision-making across the organization-from product development to compliance planning, helping us stay responsive and aligned with stakeholder expectations.

ANNEX

Methodology for Material Climate & Environmental Risks

To identify all C&E risks at bunq and understand their materiality, an assessment is carried out every year based on a comprehensive methodology. The methodology is based on the regulatory expectations from the European Central Bank, and supported by bunq's risk management framework. Both quantitative and qualitative data points are used to substantiate the output.

Parameters for Likelihood, Impact, Time Horizon are defined to ensure the assessment is carried out in a consistent manner:

Likelihood	Definition
Highly Unlikely	Expected to occur within 2-5 years
Unlikely	Expected to occur within 1-2 years
Possible	Expected to occur within 12 months
Likely	Expected to occur within 6 months
Highly Likely	Expected to occur within 3 months

Horizon	Definition
Short-term	Within one year (≤ 1 year)
Medium-term	Between 1 and 5 years (1-5 years)
Long-term	More than 5 years (> 5 years)

Using the parameters, material risks are therefore defined as risks carrying a likelihood of either Likely or Certain, and an impact of either Medium or High, as illustrated below.

Likelihood / Impact	Horizon
---------------------	---------

Highly Likely	Level 0	Level 1	Level 2	Level 3	Level 4	
Likely						
Possible						
Unlikely						
Highly Unlikely						
	Hiccup	Low	Medium	High	Major	

Credit risk was assessed on a portfolio level which consists of: Residential mortgages, Commercial Real Estate (CRE), Asset Finance (AF), and Asset Backed Security, Collateralized Loan Obligations (CLO's) and Residential Mortgage-Backed Security (ABS & RMBS). The material risks identified from these portfolios based on the time horizons are:

C&E risk factor	Material C&E risks per portfolio – Credit risk				
	Mortgages	CRE	AF	ABS & RMBS	CLO's
1. Extreme weather events	LT		MT		
2. Sea level rise & weather changes	ST MT LT	ST MT	ST MT		
3. Water usage / scarcity					
4. Waste production & pollution	MT LT				
5. Biodiversity & ecosystems					
6. Emissions	MT LT	MT	MT		
7. Energy efficiency	MT LT		MT		
8. Environmental policies		ST MT	ST MT		

9. Legal risk					
10. Technological changes		MT	MT		
11. Consumer & investor sentiment					

ST = Short-term (< 1 year), MT = Medium-term (1 – 5 years), LT = Long-term (> 5 years).

A general assessment was conducted on Liquidity Risk. The material risks identified based on the time horizons are:

C&E risk factor	Material C&E risks - Liquidity Risk
	Liquidity risk
1. Extreme weather events	LT
2. Sea level rise & weather changes	ST MT LT
3. Water usage / scarcity	
4. Waste production & pollution	
5. Biodiversity & ecosystems	
6. Emissions	
7. Energy efficiency	
8. Environmental policies	
9. Legal risk	ST MT LT
10. Technological changes	
11. Consumer & investor sentiment	

Market risk was assessed on a sub-risk level which consists of: Credit Spread Risk, Foreign Exchange (FX) Risk and Interest Rate Risk. The material risks identified from these sub-risks based on the time horizons are:

C&E risk factor	Material C&E risks per risk factor – Market risk		
	Credit spread Risk	FX risk	Interest rate risk
1. Extreme weather events			

2. Sea level rise & weather changes			
3. Water usage / scarcity			
4. Waste production & pollution			
5. Biodiversity & ecosystems			
6. Emissions			MT LT
7. Energy efficiency			MT LT
8. Environmental policies			ST MT LT
9. Legal risk			
10. Technological changes			MT LT
11. Consumer & investor sentiment			

Operational risk was also assessed on a sub-risk level which consists of: Business Continuity Risk, Reputational Risk and Litigation and Liability Risk. The material risks identified from these sub-risks based on the time horizons are:

C&E risk factor	Material C&E risks per risk factor - Operational Risk		
	Business continuity	Reputational	Litigation & liability
1. Extreme weather events	LT		
2. Sea level rise & weather changes			
3. Water usage / scarcity			
4. Waste production & pollution			
5. Biodiversity & ecosystems			
6. Emissions			
7. Energy efficiency			
8. Environmental policies			ST MT LT
9. Legal risk			
10. Technological changes			
11. Consumer & investor sentiment		LT	

Similar to Credit risk, Strategic risk was also assessed on a portfolio level which consists of: Residential mortgages, Capitalflow Group (CFG), CLO's

and Deposits. The material risks identified from these portfolios based on the time horizons are:

C&E risk factor	Material C&E risks per business line – Strategic risk			
	Mortgages	CFG	Deposits	CLO's
1. Extreme weather events				
2. Sea level rise & weather changes		MT LT		
3. Water usage / scarcity				
4. Waste production & pollution				
5. Biodiversity & ecosystems				
6. Emissions				
7. Energy efficiency				
8. Environmental policies				
9. Legal risk		ST MT LT		
10. Technological changes				
11. Consumer & investor sentiment		LT	LT	LT

Risks are deemed immaterial when their likelihood were assessed as Unlikely or Rare, or their impact were assessed as None, Minor or Low. This can either be due to no transmission channel being identified for the C&E driver to impact on a specific risk, or the quantitative or qualitative data substantiates the likelihood and impact assessments.